

Bearish Candlestick Reversal Patterns Playbook

Patterns

1. **Bearish Engulfing:** A green candle followed by a larger red candle completely engulfing the body of the previous candle. Strong sell signal at resistance.
2. **Shooting Star:** Long upper wick rejecting higher prices with a small body near the lower end.
3. **Evening Star:** 3-candle reversal pattern at market peaks signaling exhaustion of buyers.

Execution Guideline

If a Bearish Engulfing or Shooting Star appears near major horizontal resistance or Overbought RSI (>70), bias should shift to SELL or TAKE PROFIT.